Desert Valley Health (fictional): Monthly Close Executive Summary

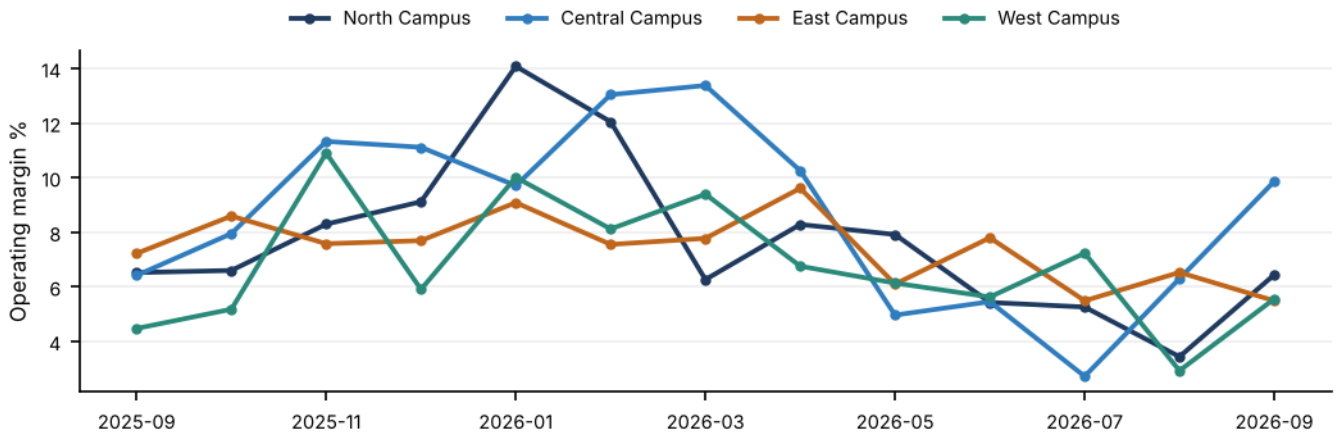
September 2026 · auto-generated · synthetic data

September 2026: operating income $4.56M vs $4.24M budget (+$322K); operating margin 7.2% vs 6.8% budget. Net patient revenue $63.63M (+1.7% vs budget).
Largest unfavorable variances:
- East Campus Med/Surg Nursing: Contract Labor $252K over budget (+242%), unfavorable. Patient days 2,158 vs 2,156 budget (+0.1%) accounts for $0K only. Agency hours 2,926 vs 855 budgeted: contract staff are covering employed vacancies (check employed Salaries & Wages, likely under budget).
- West Campus Surgical Services: Supplies $192K over budget (+8%), unfavorable. Surgical cases 507 vs 495 budget (+2.4%) accounts for $58K only. Cost per surgical case $5,068 vs $4,804 budget (+5.5%): price or mix, not volume.
- West Campus Pharmacy: Drugs $143K over budget (+8%), unfavorable. Doses 41,804 vs 41,516 budget (+0.7%) accounts for $12K only.
- East Campus Intensive Care: Contract Labor $112K over budget (+249%), unfavorable. Patient days 471 vs 467 budget (+0.9%) accounts for $0K only. Agency hours 1,293 vs 371 budgeted: contract staff are covering employed vacancies (check employed Salaries & Wages, likely under budget).
Largest favorable variances:
- Central Campus Imaging: Net Patient Revenue $435K (+17%), rate / efficiency-driven.
- Central Campus Med/Surg Nursing: Net Patient Revenue $237K (+7%), volume-driven.
Close controls: 7 passed, 1 need review, 0 failed. Review items: month over month fluctuation.

System income statement

	Actual	Budget	Fav/(Unfav)	%
Gross Patient Revenue	$249,105,270	$245,363,567	$3,741,703	1.5%
Deductions from Revenue	$185,470,485	$182,795,857	($2,674,628)	-1.5%
Net Patient Revenue	**$63,634,785**	**$62,567,709**	**$1,067,075**	**1.7%**
Salaries & Wages	$19,067,040	$19,201,167	$134,127	0.7%
Contract Labor	$1,721,291	$1,353,299	($367,991)	-27.2%
Benefits	$4,576,090	$4,608,280	$32,190	0.7%
Supplies	$16,191,166	$15,799,368	($391,798)	-2.5%
Drugs	$8,816,091	$8,631,352	($184,739)	-2.1%
Purchased Services	$4,421,104	$4,460,800	$39,696	0.9%
Other Operating Expense	$1,041,463	$1,035,045	($6,418)	-0.6%
Total Operating Expense	**$55,834,244**	**$55,089,311**	**($744,933)**	**-1.4%**
EBIDA	**$7,800,540**	**$7,478,398**	**$322,142**	**4.3%**
Depreciation & Interest	$3,239,000	$3,239,000	$0	0.0%
Operating Income	**$4,561,540**	**$4,239,398**	**$322,142**	**7.6%**

Operating margin trend



Material variances (top 10)

Facility / dept	Line	Variance	Driver	Commentary
Central Campus Imaging	Net Patient Revenue	$434,548	Rate / efficiency	Net Patient Revenue $435K over budget (+17%), favorable. Procedures 6,887 vs 6,746 budget (+2.1%) accounts for $54K only. $380K from net rate / payer mix rather than volume.
East Campus Med/Surg Nursing	Contract Labor	($252,174)	Rate / efficiency	Contract Labor $252K over budget (+242%), unfavorable. Patient days 2,158 vs 2,156 budget (+0.1%) accounts for $0K only. Agency hours 2,926 vs 855 budgeted: contract staff are covering employed vacancies (check employed Salaries & Wages, likely under budget).
Central Campus Med/Surg Nursing	Net Patient Revenue	$237,258	Volume	Net Patient Revenue $237K over budget (+7%), favorable. Patient days 3,244 vs 3,114 budget (+4.2%) accounts for $145K of the variance.
West Campus Surgical Services	Supplies	($191,518)	Rate / efficiency	Supplies $192K over budget (+8%), unfavorable. Surgical cases 507 vs 495 budget (+2.4%) accounts for $58K only. Cost per surgical case $5,068 vs $4,804 budget (+5.5%): price or mix, not volume.
East Campus Med/Surg Nursing	Salaries & Wages	$144,825	Rate / efficiency	Salaries & Wages $145K under budget (-12%), favorable. Patient days 2,158 vs 2,156 budget (+0.1%) accounts for $1K only. Employed labor below plan; confirm whether vacancies are being backfilled with contract labor.
West Campus Pharmacy	Drugs	($142,711)	Rate / efficiency	Drugs $143K over budget (+8%), unfavorable. Doses 41,804 vs 41,516 budget (+0.7%) accounts for $12K only.
West Campus Emergency	Net Patient Revenue	$127,058	Rate / efficiency	Net Patient Revenue $127K over budget (+6%), favorable. ED visits 3,376 vs 3,353 budget (+0.7%) accounts for $16K only. $111K from net rate / payer mix rather than volume.
East Campus Intensive Care	Contract Labor	($112,355)	Rate / efficiency	Contract Labor $112K over budget (+249%), unfavorable. Patient days 471 vs 467 budget (+0.9%) accounts for $0K only. Agency hours 1,293 vs 371 budgeted: contract staff are covering employed vacancies (check employed Salaries & Wages, likely under budget).
West Campus Med/Surg Nursing	Salaries & Wages	$79,759	Volume	Salaries & Wages $80K under budget (-8%), favorable. Patient days 1,776 vs 1,916 budget (-7.3%) accounts for $61K of the variance. Employed labor below plan; confirm whether vacancies are being backfilled with contract labor.

Facility / dept	Line	Variance	Driver	Commentary
North Campus Med/Surg Nursing	Salaries & Wages	($77,828)	Rate / efficiency	Salaries & Wages $78K over budget (+6%), unfavorable. Patient days 2,725 vs 2,635 budget (+3.4%) accounts for $39K only.

Close controls

Control	Status	Detail
duplicate lines	PASS	no duplicated journal lines
journal entries balance	PASS	0 unbalanced of 128 journal entries
trial balance	PASS	debits $493,648,999.45 vs credits $493,648,999.45 (difference $0.00)
chart of accounts mapping	PASS	0 unmapped accounts, 0 unmapped cost centers
period cutoff	PASS	0 lines dated outside 2026-09
account department fit	PASS	all postings in expected departments
statistics complete	PASS	0 departments missing volume statistics
month over month fluctuation	WARN	E Contract Labor +376,222